

Fundamental Analysis

The Search for Intrinsic Value

Fundamental analysis is based on the premise that every share has a certain intrinsic value at a period of time. This intrinsic value changes from time to time as a consequence of both internal and external factors. The theory of fundamental analysis submits that one should purchase a share when it is available below its intrinsic value and sell it when it rises above its intrinsic value. When the market value of a share is below its intrinsic value it is under valued, whereas if the market value of a share is above its intrinsic value it is over valued. Fundamentalists thus seek to purchase underpriced shares and sell overpriced ones. They believe that although the market price may deviate from the intrinsic value in the short term, in the long term the market price will be equal to the intrinsic value.